Chapter Forty-Four

Cooperative Fiscal Federalism to Fiscal Union

Near Perfect Fiscal Federal System at Inception

The founding fathers of the Indian Constitution opted for a balanced federal fiscal system making the states the pivot of development expenditure on agriculture, health, education, nutrition, infrastructure, and virtually any area concerning public welfare. The people of India reside in states and there is a direct relationship between people and the state governments.

The Constitution, as adopted by the people in 1949 and which came into force on 26 January 1950, conferred substantial taxation sovereignty on states by including several taxation powers in List II of the Seventh Schedule on which states have exclusive right to make laws and exercise executive power. These exclusive taxation powers included taxes on sale of goods, excise duty on alcohol, transportation taxes, tax on agricultural income, octroi, stamp duties on sale of land and other properties, and a few other taxes. These taxation powers were not adequate to meet the states' expenditure but were truly independent and sovereign—states did not need any licence or support from the Union government to decide their taxation policy and administration.

To make sure states were fiscally able to discharge their expenditure responsibilities on their own authority and not remain dependent on the Centre, the Constitution provided for a Finance Commission to be constituted every five years. The Finance Commission was conferred with independent jurisdiction and the right to determine how much of the receipt of the central taxes would be taken out of the CFI (which houses all the receipts of the Government of India) autonomously and devolve to the